



Ivy Re II Limited

Consolidated financial statements

As of December 31, 2025, and 2024

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Consolidated financial statements

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors of
Ivy Re II Limited

INDEPENDENT AUDITOR'S REPORT

Opinion

We have audited the consolidated financial statements of Ivy Re II Limited and subsidiaries (the "Company"), which comprise the consolidated balance sheets as of December 31, 2025 and 2024, and the related consolidated statements of income (loss), comprehensive income (loss), shareholder's equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended, in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Debitte & Touche LLP

April 23, 2026

IVY RE II LIMITED AND SUBSIDIARIES

CONSOLIDATED BALANCE SHEETS

	As of December 31,	
	2025	2024
(\$ in thousands)		
Assets		
Investments:		
Fixed maturity securities, available-for-sale, at fair value (amortized cost: \$106,144 and \$188,608, respectively.)	\$ 106,981	\$ 188,285
Funds withheld receivable at interest (portion at fair value: \$(52,376) and \$(265,748), respectively.)	24,360,425	21,983,687
Other investments at fair value	86,394	72,024
Total investments	24,553,800	22,243,996
Cash and cash equivalents	449,914	157,478
Accrued investment income	501	784
Reinsurance receivable	247,344	209,697
Cost of reinsurance assets	688,672	615,893
Other assets	6,166	24,771
Total assets	25,946,397	23,252,619
Liabilities		
Policy liabilities (portion at fair value: \$379,688 and \$298,825, respectively; market risk benefit liabilities: \$10,468 and \$11,371, respectively.)	23,500,589	21,240,525
Other liabilities	73,042	81,825
Reinsurance liabilities	168,979	218,830
Total liabilities	23,742,610	21,541,180
Commitment and contingencies (Note 14)		
Shareholder's equity		
Common stock, \$1 par value, 250,000 shares authorized, issued and outstanding	250	250
Additional paid-in capital	2,030,077	1,646,747
Retained earnings (deficit)	187,315	(28,578)
Accumulated other comprehensive income (loss)	(13,855)	93,020
Total shareholder's equity	2,203,787	1,711,439
Total liabilities and shareholder's equity	\$ 25,946,397	\$ 23,252,619

See accompanying notes to consolidated financial statements.

IVY RE II LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF INCOME (LOSS)

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Revenues		
Premiums	\$ 1,023,255	\$ 2,700,385
Policy fees	292,176	297,559
Net investment income (loss)	1,387,441	1,176,388
Net investment-related gains (losses)	224,393	(383,336)
Total revenues	2,927,265	3,790,996
Benefits and expenses		
Policy benefits and claims (market risk benefit (gain) loss: \$(856) and \$(3,166), respectively; remeasurement (gain) loss on policy liabilities \$2,750 and \$(1,100), respectively.)	2,434,721	3,738,037
Amortization of cost of reinsurance assets	(72,779)	(6,082)
Insurance expenses	89,616	197,173
General and administrative expenses	17,297	16,376
Total benefits and expenses	2,468,855	3,945,504
Income (loss) before income taxes	458,410	(154,508)
Income tax expense (benefit)	2,017	5,237
Net income (loss)	\$ 456,393	\$ (159,745)

See accompanying notes to consolidated financial statements.

IVY RE II LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (LOSS)

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Net income (loss)	\$ 456,393	\$ (159,745)
Other comprehensive income (loss):		
Unrealized gains (losses) on available-for-sale securities	1,326	(322)
Less: reclassification adjustment for gains (losses) included in net income (loss)	168	—
Unrealized gains (losses) on available-for-sale securities	1,158	(322)
Effect of changes in the fair value of a market risk benefit attributable to a change in the instrument-specific credit risk	47	(322)
Effect of changes in the discount rates used to measure limited-payment long duration insurance contracts	(108,080)	132,433
Other comprehensive income (loss)	(106,875)	131,789
Comprehensive income (loss)	\$ 349,518	\$ (27,956)

See accompanying notes to consolidated financial statements.

IVY RE II LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF SHAREHOLDER'S EQUITY

	Common stock	Additional paid-in capital	Retained earnings (deficit)	Accumulated other comprehensive income (loss)	Total shareholder's equity
(\$ in thousands)					
Balance as of December 31, 2023	\$ 250	\$ 1,235,255	\$ 212,167	\$ (38,769)	\$ 1,408,903
Net income (loss)	—	—	(159,745)	—	(159,745)
Other comprehensive income (loss)	—	—	—	131,789	131,789
Equity-based compensation	—	45	—	—	45
Capital contributions	—	581,447	—	—	581,447
Dividends	—	—	(81,000)	—	(81,000)
Return of capital	—	(170,000)	—	—	(170,000)
Balance as of December 31, 2024	\$ 250	\$ 1,646,747	\$ (28,578)	\$ 93,020	\$ 1,711,439
Net income (loss)	—	—	456,393	—	456,393
Other comprehensive income (loss)	—	—	—	(106,875)	(106,875)
Equity-based compensation	—	24	—	—	24
Capital contributions	—	583,197	—	—	583,197
Dividends	—	—	(240,500)	—	(240,500)
Return of capital	—	(198,000)	—	—	(198,000)
Placement fees	—	(1,891)	—	—	(1,891)
Balance as of December 31, 2025	\$ 250	\$ 2,030,077	\$ 187,315	\$ (13,855)	\$ 2,203,787

See accompanying notes to consolidated financial statements.

IVY RE II LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Cash flows from operating activities		
Net income (loss)	\$ 456,393	\$ (159,745)
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:		
Net investment and policy liability related (gains) losses	(143,488)	526,636
Net accretion and amortization	(60,450)	(52,494)
Interest credited to policy account balances less policy fees	752,901	613,934
Deferred income tax expense (benefit)	2,017	5,237
Changes in operating assets and liabilities:		
Reinsurance transactions and acquisitions, net of cash provided (used)	—	(1,897)
Change in premiums, funds withheld, and reinsurance receivable, net of reinsurance premiums payable	(532,153)	(3,236,053)
Change in cost of reinsurance assets	(59,904)	(7,839)
Change in accrued investment income	283	(66)
Change in policy liabilities and accruals, net	397,068	133,452
Other operating activities, net	7,548	5,424
Net cash provided by (used in) operating activities	820,215	(2,173,411)
Cash flows from investing activities		
Proceeds from disposals of available-for-sale fixed maturity securities	74,431	—
Proceeds from maturities of available-for-sale fixed maturity securities	7,703	1,093
Proceeds from disposals of other investments	83	—
Purchase of available-for-sale fixed maturity securities	4	(189,877)
Purchase of other investments	(4,909)	(43,618)
Other investing activities, net	4	—
Net cash provided by (used in) investing activities	77,316	(232,402)
Cash flows from financing activities		
Reinsurance transactions, net of cash provided (used)	—	393
Additions to contractholder deposit funds	780,734	3,258,718
Withdrawals from contractholder deposit funds	(1,528,609)	(1,435,541)
Capital contributions	583,197	581,447
Return of capital	(198,000)	(170,000)
Dividends paid	(240,500)	(81,000)
Other financing activities, net	(1,917)	(1,917)
Net cash provided by (used in) financing activities	(605,095)	2,152,100
Net change in cash and cash equivalents	292,436	(253,713)
Cash and cash equivalents, beginning of period	157,478	411,191

IVY RE II LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Cash and cash equivalents, end of period	\$ 449,914	\$ 157,478
Supplemental cash flow information		
Income tax payments (receipts)	—	1
Non-cash transactions		
Contractholder deposit funds acquired through reinsurance agreements	\$ 1,257,209	\$ 2,935,687

See accompanying notes to consolidated financial statements.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(1) Nature of business and basis of presentation

Ivy Re II Limited (together with its subsidiaries, “Ivy Re II,” the “Company,” we, our, or us) was incorporated on August 25, 2021, and is a Bermuda exempted limited liability company, registered under the Insurance Act of 1978 as a Class E insurer. The Company serves the reinsurance marketplace as a reinsurer primarily for transactions sourced, negotiated, and underwritten by subsidiaries of Global Atlantic Limited (Delaware) (“the Sponsor,” “Global Atlantic,” or “GALD”). The reinsurance solutions include primarily reinsurance of life and retirement blocks, funding agreements, pension risk transfer, and the reinsurance of a share of future premiums (“flow reinsurance”). The Company operates independently, leveraging Global Atlantic’s proven reinsurance expertise. Through the co-investment framework, the Company accesses an attractive opportunity to deploy investor capital while assisting life and annuity companies in addressing capital, risk management, and strategic objectives.

The accompanying consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (“U.S. GAAP”), which differ in certain respects from those followed in reports to the Bermuda Monetary Authority (the “BMA”), the insurance regulatory authority of Ivy Re II.

The consolidated financial statements reflect the reinsurance transactions entered into between Ivy Re II and certain ceding insurance companies (“Sponsor Insurance Subsidiaries”). These reinsurance transactions comprise block reinsurance, funding agreements, pension risk transfer and flow reinsurance transactions, as described in Note 12 — “Reinsurance.”

The preparation of consolidated financial statements in conformity with U.S. GAAP requires the Company to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of any contingent assets and liabilities as of the date of the consolidated financial statements, and the amounts of revenues and expenses recognized during the reporting period. Amounts based on such estimates involve numerous assumptions subject to varying and potentially significant degrees of judgment and uncertainty, particularly related to the future performance of the underlying business. Actual experience could materially differ from these estimates and assumptions. The most significant estimates are those used in determining valuation and impairment of investments, valuation of embedded derivatives, and valuation of policy liabilities.

The consolidated financial statements include the results of operations and financial position of the Company and all other entities in which the Company has a controlling financial interest. All intercompany accounts and transactions have been eliminated in consolidation.

(2) Significant accounting policies

The following are the Company’s significant accounting policies and references to notes providing additional information on policies:

Accounting policy	Note
Investments	3, 4 and 5
Composition of other assets, liabilities, insurance expenses, and general and administrative expenses	6
Policy liabilities	7
Income taxes	11
Reinsurance	12

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Investments

In the normal course of business, the Company enters into reinsurance transactions with the Sponsor Insurance Subsidiaries and invests surplus assets in various types of investments.

Investments include the following: available-for-sale ("AFS") fixed maturity securities, funds withheld receivable at interest ceded by the Sponsor Insurance Subsidiaries and other investments.

Available-for-sale fixed maturity securities

The Company primarily accounts for its fixed maturity securities (including bonds and structured securities) as available-for-sale ("AFS"). AFS fixed maturity securities are generally recorded on a trade-date basis, and are carried at fair value. Impairment associated with AFS fixed maturity securities is recognized as an allowance for credit losses. The allowance for credit losses is established either by a charge to net investment-related gains (losses) in the consolidated statements of income (loss) for securities identified as credit impaired after purchase, or by a gross-up recognition of an initial allowance for purchased credit deteriorated ("PCD") securities.

PCD securities are those purchased by the Company that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. The Company considers an AFS fixed maturity security to be PCD if there are indicators of a credit loss at the acquisition date or, in the case of structured securities, if there is a significant difference between contractual cash flows and expected cash flows at acquisition. The initial amortized cost for a PCD security equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a discounted cash flow method, based on the best estimate of the present value of cash flows expected to be collected. After purchase, the accounting for a PCD security is generally consistent with that applied to all other securities.

Unrealized gains and losses on AFS fixed maturity securities, net of tax, are reported in accumulated other comprehensive income (loss) in the consolidated balance sheets. Realized investment gains and losses are recognized on a first-in, first-out basis, and are reported in net investment-related gains (losses) in the consolidated statements of income (loss). The amortized cost of fixed maturity securities is adjusted for impairment charge-offs, amortization of premiums, and accretion of discounts. Such amortization and accretion is calculated using the effective yield method and included in net investment income (loss) in the consolidated statements of income (loss).

For structured securities, the Company recognizes interest income utilizing a constant effective yield based on estimated cash flows generated from internal models utilizing interest rate, default and prepayment assumptions. Effective yields for structured securities that are not of high credit quality are recalculated and adjusted prospectively based on changes in expected undiscounted future cash flows, after consideration of any appropriate recognition or release of an allowance for credit losses. For structured securities that are of high credit quality, effective yields are recalculated based on payments received and updated prepayment expectations, and amortized cost is adjusted to the amount that would have existed had the new effective yield been applied since acquisition, with a corresponding charge or credit to net investment income (loss). Prepayment fees are recorded when earned in net investment income in the consolidated statements of income (loss).

The Company generally suspends accrual of interest for securities that are more than 90 days past due, and reverses any related accrued interest to net investment income (loss) in the consolidated statements of income (loss). When a security is in non-accrual status, coupon payments are recognized as interest income as cash is received, subject to consideration as to the overall collectability of the security. A security is returned to accrual status when the Company determines that the collection of

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

amounts due is probable. The allowance for credit losses excludes accrued interest from the amortized cost basis for which losses are estimated.

Funds withheld receivable at interest

Funds withheld receivable at interest represent receivables for amounts contractually withheld by the Sponsor Insurance Subsidiaries, in accordance with reinsurance agreements in which the Company acts as the reinsurer. While the assets in funds withheld are legally owned by the ceding company, the assets are separately identified and held in trusts for the benefit of the Company. All economic rights and obligations on the assets accrue to the Company. The assets in the funds withheld segregated accounts are typically managed by an investment manager, who periodically settles the total return from those assets.

The reinsurer has an indirect exposure to the credit risk of the underlying assets of the funds withheld account. As a result, funds withheld coinsurance agreements contain embedded derivatives, which are required to be separated from their host contracts and measured at fair value. The host contract relates to the reinsurance receivable from Sponsor Insurance Subsidiaries under the funds withheld arrangement underlying the reinsurance transactions. The host contract, at inception of the reinsurance arrangement, represented the fair value of the non-cash consideration. The embedded derivative represents the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the consolidated balance sheets, with changes in fair value recorded in net investment-related gains (losses) in the consolidated statements of income (loss).

Investments segregated in trusts to collateralize the funds withheld receivable at interest include the following: fixed maturity securities, mortgage and other loan receivables, policy loans, other investments, and derivative instruments.

Derivative instruments held within the funds withheld at interest are primarily used to hedge certain risks, including interest rate risk and equity market risk, and to a lesser extent foreign exchange risks. Derivative instruments are generally recognized at estimated fair value in funds withheld receivable at interest on the consolidated balance sheets.

Other investments

Other investments in the consolidated balance sheets include the Company's investments in investment partnerships or limited liability companies, for which the Company does not have voting control or power to direct activities. These investments are accounted for using the equity method of accounting, unless the Company's interest is so minor that it has virtually no influence over partnership operating or financial policies. The equity method of accounting requires that the investments be initially recorded at cost, and the carrying amount of the investment subsequently be adjusted to recognize the Company's share of the earnings and losses of the investee. Where there is a difference between the cost of the investment and the Company's proportionate share of the equity method investee's net assets, this basis difference is accreted to net investment income (loss) over the life of the underlying assets. In applying the equity method, the Company uses financial information provided by the investee, generally on a one to three month lag due to the timing of the receipt of related financial statements. For those investments in which we are determined to have virtually no influence, the Company accounts for its investment as an equity security.

The income from the Company's equity method investments is included in net investment income (loss) in the consolidated statements of income (loss). The Company generally elects to apply the fair value option to its interests in investment partnerships or limited liability companies that would otherwise

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

require equity method accounting. The investments that apply the fair value option, as well as those investments in which the Company is determined to have virtually no influence, are carried at fair value with unrealized gains and losses reported in net investment-related gains (losses) in the consolidated statements of income (loss). Distributions from investment partnerships that apply equity method accounting are classified as investing or operating activities within the consolidated statements of cash flows, based on the nature of the distributions.

Investment credit losses and impairment***AFS fixed maturity securities***

One of the significant estimates related to AFS securities is the evaluation of those investments for credit losses. The evaluation of investments for credit losses is a quantitative and qualitative quarterly process that is subject to risks and uncertainties and involves significant estimates and judgments by management. Changes in the estimates and judgments used in such analysis can have a significant impact on the Company's consolidated statements of income (loss). Considerations relevant to the evaluation of credit losses may include the severity of any loss position, as well as changes in market interest rates, changes in business climate, management changes, litigation, government actions, and other similar factors that may impact an issuer's ability to meet current and future principal and interest obligations. Indicators of credit impairment may also include changes in credit ratings, the frequency of late payments, pricing levels, and deterioration in any, or a combination of, key financial ratios, financial statements, revenue forecasts, and cash flow projections.

For AFS fixed maturity securities in an unrealized loss position, the Company first considers the intent to sell a security, or whether it is more-likely-than-not that it will be required to sell the security, before the recovery of its amortized cost. If the Company intends to sell an AFS fixed maturity security with an unrealized loss or it is more-likely-than-not that it will be required to sell an AFS fixed maturity security with an unrealized loss before recovery of its amortized cost basis, the amortized cost is written down to fair value and a corresponding charge is recognized to net investment-related gains (losses).

For AFS fixed maturity securities in an unrealized loss position that the Company does not intend to sell, and will not be required to sell, the Company bifurcates the impairment into two components: credit impairment and non-credit impairment. Credit impairments are measured as the difference between the security's cost or amortized cost and its estimated recoverable value, which is the present value of its expected future cash flows discounted at the current effective interest rate. The estimated recoverable value is subject to a floor equal to the fair value of the security. The remaining difference between the security's fair value and the recoverable value, if any, is the non-credit impairment. Credit impairments are recognized in the allowance for credit losses on AFS fixed maturity securities, which is established via a charge to net investment-related gains (losses) in the consolidated statements of income (loss) and non-credit impairments are charged to accumulated other comprehensive income (loss) in the consolidated balance sheets.

In determining the estimated recoverable value, the review of expected future cash flows for structured securities includes assumptions about key systemic risks (e.g., unemployment rates, housing prices) and loan-specific information (e.g., delinquency rates, loan-to-value ratios). Estimating future cash flows is a quantitative and qualitative process that incorporates information received from third parties, along with assumptions and judgments about the future performance of the underlying collateral. For corporate and government bonds, the recoverable value is determined using cash flow estimates that consider facts and circumstances relevant to the security and the issuer, including overall financial strength and secondary sources of repayment, as well as pending restructuring or disposition of assets.

In periods subsequent to the initial recognition of an allowance for credit losses on a fixed maturity security, whether for a PCD security or a security impaired since purchase, the Company continues to

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

monitor credit loss expectations. Deterioration in the estimated recoverable value of a credit impaired security is recognized as an addition to the allowance for credit losses, as limited by the amount by which the security's fair value is less than amortized cost. Improvements in the estimated recoverable value of a credit impaired security or improvements in the fair value of a credit impaired security that limit the amount of the allowance result in reductions in the allowance for credit losses, which are recognized as a credit to net investment-related gains (losses) in the consolidated statements of income (loss).

Amounts are charged off against the allowance for credit losses when deemed uncollectible, or when the Company determines that it intends to sell, or more likely than not will be required to sell, the security. Charge-offs are reflected as a decrease in the allowance and a direct write down in the amortized cost of the security. If the Company recovers all or a portion of an amount previously written off on a credit impaired security, the recovery is recognized as a realized investment gain.

Funds withheld receivable at interest

The Company reviews its funds withheld receivable at interest for expected credit losses considering, among other things, relevant credit enhancements and collateral provisions in the reinsurance arrangements.

Other investments

Impairment of investments subject to the equity method of accounting is assessed whenever events or circumstances suggest that the carrying amount may not be recoverable. An impairment charge is recognized in earnings for a decline in value that is determined to be other than temporary, and is measured as the difference between the carrying amount and the fair value of the equity method investment as of the balance sheet date.

Cash and cash equivalents

Cash and cash equivalents in the consolidated balance sheets generally include short-term highly liquid investments with a maturity of three months or less from the date of acquisition. Amounts included are readily convertible to known amounts of cash, and are subject to an insignificant risk of change in value.

Policy liabilities

Policy liabilities (or collectively, "reserves") are the portion of past premiums or assessments received that are set aside to meet future policy and contract obligations as they become due. Interest accrues on these reserves and on future premiums, which may also be available to pay for future obligations. The Company establishes reserves to pay future policy benefits, claims, and certain expenses for its reinsured life policies and annuity contracts.

Reserves are estimates based on models that include many actuarial assumptions and projections. These assumptions and projections, which are inherently uncertain, involve significant judgment, including assumptions as to the levels and/or timing of premiums, benefits, claims, expenses, interest credits, investment results (including equity market returns), mortality, longevity, and persistency.

The assumptions on which reserves are based are intended to represent an estimation of experience for the period that policy benefits are payable. The adequacy of these reserves and the assumptions underlying those reserves are reviewed at least annually. The Company cannot, however, determine with precision the amount or the timing of actual policy benefit payments. If actual experience is better than or equal to the assumptions, then reserves would be adequate to provide for future policy benefits and

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

expenses. If experience is worse than the assumptions, additional reserves may be required to meet future policy and contract obligations. This would result in a charge to the Company's net income (loss) during the period in which excess policy benefits are paid, or an increase in reserves occurs.

For a majority of the Company's in-force policies, including its universal life policies and most annuity contracts, the base policy reserve is equal to the account value. For these products, the account value represents the Company's obligation to repay to the policyholder the amounts held on deposit. However, there are several significant blocks of business where additional policyholder reserves are explicitly calculated, including fixed-indexed annuities, variable annuities, and universal life secondary guarantees.

Fixed-rate and fixed-indexed annuities

The Company reinsures fixed-indexed annuities and certain other fixed-rate annuity products, for which the policy liabilities are determined in a manner consistent with the accounting for a deposit liability using the "effective yield method."

Fixed-indexed annuities enable the policyholder to allocate contract value between a fixed crediting rate and strategies which reflect the change in the value of an index, such as the Standard & Poor's ("S&P") 500 Index, or other indices. These products are accounted for as investment-type contracts. The liability for these products consists of a combination of the underlying account value and an embedded derivative value.

The liability for the underlying account value is primarily based on policy guarantees, and its initial value is the difference between the premium payment and the fair value of the embedded derivative. Thereafter, the account value liability is determined using the effective yield method. All future host balances are determined as: (1) the initial host balance; (2) plus interest; (3) less applicable policyholder benefits. The interest rate used in the prior roll forward is re-determined on each valuation date, per the effective yield method. The embedded derivative component's fair value is based on an estimate of the policyholders' expected participation in future increases in the relevant index. The fair value of this embedded derivative component includes assumptions, including those about future interest rates and investment yields, future costs for options used to hedge the contract obligations, projected withdrawal and surrender activity, benefit utilization, and the level and limits on contract participation in any future increases in the respective index option. The account value liability and embedded derivative are recorded in policy liabilities in the consolidated balance sheets, with changes in value of the liabilities recorded in policy benefits and claims in the consolidated statements of income (loss).

Variable annuities

The Company assumes variable annuity contracts for which the liabilities are included in policy liabilities in the consolidated balance sheets. The change in the liabilities for these benefits is included in policy benefits and claims in the consolidated statements of income. Variable annuity contracts may have certain guarantees that are accounted for as market risk benefits, which are discussed in more detail below.

Funding agreements

The Company reinsures funding agreement liabilities which the cedant has issued to special purpose entities that have issued debt securities for which payment of interest and principal is secured by such funding agreements. The Company's funding agreements are considered investment type contracts and liabilities are net deposits plus accrued and unpaid interest. The Company's obligation is reported in policy liabilities in the consolidated balance sheets. Interest expense is calculated using the effective

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interest method and recorded in policy benefits and claims in the consolidated statements of income (loss).

Interest-sensitive life products

The Company reinsures universal life and variable universal life policies, for which the base policy reserve is the policyholder account value. For these products, the account value represents the Company's obligation to repay to the policyholder the amounts held on deposit. Additional liabilities are held for other insurance benefit guarantees, if applicable.

Contractholder deposit reserves for certain assumed blocks of universal life policies where mortality risk is retained by the ceding company are accounted for as investment-type contracts. A net liability is established at inception for the net consideration, and amortized using the effective yield method.

Traditional life and limited-payment contracts

Liability for future policy benefits

The Company reinsures traditional life and limited-payment contracts, for which the Company records a liability for future policy benefits. A liability for future policy benefits, which is the present value of estimated future policy benefits to be paid to or on behalf of policyholders and certain related expenses less the present value of estimated future net premiums to be collected from policyholders, is accrued as premium revenue is recognized. The liability is estimated using best estimate assumptions that include mortality and lapse. These assumptions are based on judgments that consider the Company's historical experience, industry data, and other factors.

Contracts are grouped into cohorts by the underlying reinsured contract type and issue year. The liability is adjusted for differences between actual and expected experience. With the exception of the expense assumption, the Company reviews its historical and future cash flow assumptions at least annually, and updates the net premium ratio used to calculate the liability each time the assumptions are changed. The Company has elected to use expense assumptions that are locked in at contract inception and are not subsequently reviewed or updated.

At least quarterly, the Company updates its estimate of cash flows expected over the entire life of a group of contracts, using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original reinsurance contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss, and is presented parenthetically as a separate component of benefit expense in the consolidated statements of income (loss).

The discount rate assumption is a spot rate yield curve that is derived based on upper medium grade (low credit risk) fixed-income instruments with similar duration to the liability. The Company uses one or more external indices of corporate credit issues as its proxy for these instruments. The discount rate assumption is updated quarterly and used to remeasure the liability at the reporting date, with the resulting change in the discount rate reflected in other comprehensive income (loss) ("OCI"). For liability cash flows between two market observable points on the yield curve, the Company interpolates the effective yield by holding the marginal rates constant. For liability cash flows that are projected beyond the last market-observable point on the yield curve, the Company uses the last market-observable yield level.

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Limited-payment contracts

The Company reinsures limited-payment contracts, or payout annuities. These contracts subject the insurer to risks over a period that extends beyond the period or periods in which premiums are collected. These contracts may be either non-life contingent or life contingent. Non-life contingent annuities are accounted for as investment contracts. For life contingent annuities, the Company records a liability at the present value of future annuity payments and estimated future expenses calculated using expected mortality and costs, and expense assumptions. Any gross premiums received in excess of the net premium is the cost of reinsurance and is recognized separately in income over the term of the reinsured policies, on a basis consistent with the reporting of those policies for long-duration contract. Cost of reinsurance assets and liabilities are reported in cost of reinsurance assets and policy liabilities in the consolidated balance sheets.

Whole life

The Company reinsures whole life and single-premium whole life for which the Company records a liability for future policy benefits.

Contractholder deposit reserves for certain assumed blocks of whole life policies where mortality risk is retained by the ceding company are accounted for as investment-type contracts. A net liability is established at inception for the net consideration, and amortized using the effective yield method.

Long-term care

Long-term care business is assumed net of inuring reinsurance contract, which cedes all mortality and morbidity risk to a third-party reinsurer, which results in an economic profile of a period certain annuity with cash flows predetermined under the reinsurance contract. Assumed long-term care business is accounted for as an investment-type product, with a contractholder deposit reserve established at inception, and amortized under the effective yield method.

Market risk benefits

The Company reinsures market risk benefits, which are contracts or contract features that both provide protection to the policy from other-than-nominal capital market risk, and expose the Company to other-than-nominal capital market risk.

Market risk benefits include certain contract features on annuity products. These features include minimum guarantees to policyholders, such as guaranteed minimum death benefits ("GMDBs"), guaranteed minimum income benefits ("GMIBs"), and guaranteed minimum withdrawal benefits ("GMWBs"). Market risk benefits are measured at fair value using a non-option valuation approach based on current net amounts at risk, market data, Company experience, and other factors. Changes in fair value are recognized in net income (loss) each period, with the exception of the portion of the change in fair value due to a change in the instrument-specific credit risk, which is recognized in OCI.

Additional liability for annuitization, death, or other insurance benefits

The Company establishes additional liabilities for contracts or contract features that provide for potential benefits in addition to the account balance but are not market risk benefits or embedded derivatives. These benefits include annuitization, death, or other insurance benefits (e.g., universal life secondary guarantees). For these benefits, the liability is the sum of the current benefit ratio multiplied by cumulative assessments and accreted interest, less excess payments.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

In particular, the Company holds additional liabilities for universal life products with secondary guarantees, sometimes referred to as no-lapse guarantees. The additional liabilities are measured using the benefit ratio approach where excess benefits are spread over the life of the contract based on assessments collected from the policyholder. Generally, total expected excess benefit payments are the aggregate of death claims after the policyholder account value is exhausted. The exception is when the cost of insurance charges are insufficient to produce consistently positive earnings in the future. In this case, all death benefits are deemed to be excess benefits. For annuitization benefits, the benefit ratio is the present value of expected annuitization payments to be made less the accrued account balance at the expected annuitization date divided by the present value of expected assessments during the accumulation phase of the contract, discounted at the contract rate. Expected annuitization payments and related incremental claim adjustment expenses, expected assessments, and expected excess payments are calculated using discount rate, mortality, lapse, and expense assumptions.

For additional liabilities for death or other insurance benefits, the discount rate assumption is based on the contract rate at inception. The mortality, lapse, and expense assumptions are based on Company's experience, industry data, and other factors. Assumptions are reviewed and updated, if necessary, at least annually. When those assumptions are updated, the benefit ratio and the liability are remeasured, with the resulting gain or loss reflected in policy benefits and claims in the consolidated statements of income (loss).

Reinsurance

The Company co-invests in life and retirement block, funding agreements, pension risk transfer, and flow reinsurance transactions with its Sponsor Insurance Subsidiaries. In particular, consistent with the overall business strategy, the Company assumes certain policy risks written by other insurance companies on a modified coinsurance or funds withheld coinsurance basis. Reinsurance accounting is applied for these assumed transactions when risk transfer provisions have been met. To meet risk transfer requirements, a long-duration reinsurance contract must transfer mortality or morbidity risks, and subject the reinsurer to a reasonable possibility of a significant loss.

The cost of reinsurance, which is the difference between the amount paid for a reinsurance contract and the amount of the liabilities for policy benefits relating to the underlying reinsured contracts, is deferred and amortized over the reinsurance contract period for short-duration contracts, or over the terms of the reinsured policies on a basis consistent with the reporting of those policies for long-duration contracts. Generally, the Company amortizes cost of reinsurance based on policy count or effective yield method, retrospectively calculated based on actual and projected future cash flows. Cost of reinsurance assets and liabilities are reported in cost of reinsurance assets and policy liabilities in the consolidated balance sheets, respectively. Reinsurance contracts do not relieve the Company from its obligations to policyholders, and failure of reinsurers to honor their obligations could result in losses to the Company; consequently, allowances are established for expected credit losses, via a charge to policy benefits and claims in the consolidated statements of income (loss). The Company's funds withheld receivable at interest and reinsurance recoverable assets are reviewed for expected credit losses by considering credit ratings for each reinsurer, historical insurance industry specific default rate factors, rights of offset, expected recovery rates upon default, and the impact of other terms specific to the reinsurance arrangement.

For funds withheld and modified coinsurance agreements, the Company has the right to receive the total return on assets supporting the funds withheld receivable at interest. This indirectly exposes the Company to the credit risk of the underlying assets. As a result, funds withheld and modified coinsurance agreements are viewed as total return swaps, and accounted for as embedded derivatives. Embedded derivatives are required to be separated from the host contracts and measured at fair value, with changes in fair value recognized in net income (loss). Generally, the embedded derivative is measured as the difference between the fair value of the underlying assets and the carrying value of the host contract at

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the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the consolidated balance sheets. Changes in the fair value of the embedded derivative are reported in operating activities on the consolidated statements of cash flows.

Placement fees

Placement fees represent fees paid to agents that assist in raising capital for the Company and are reimbursed by the Sponsor. Placement fees are recognized in other assets in the consolidated balance sheets and are deducted from additional paid in capital in the consolidated balance sheets when investor capital commitments are called. Payments of placement fees are reported as a financing activity in the consolidated statements of cash flows.

The placement fees that are reimbursed by the Sponsor are recognized as a deduction from general and administrative expenses over the life of the Company's reinsurance transaction business. The reimbursement of the placement fees is reported as an operating activity in the consolidated statements of cash flows. The corresponding deferred expense reduction liability is included in other liabilities in the consolidated balance sheets.

Organization expenses

Organization expenses are for startup costs required to launch the Company. These costs are expensed as incurred. Organization expenses are reported as an operating activity in the consolidated statements of cash flows.

Recognition of insurance revenue and related benefits

Premiums related to payout contracts with life contingencies are recognized in premiums in the consolidated statements of income (loss) when due from the contractholders.

Amounts received as payment for universal life and investment-type contracts are reported as deposits to contractholder account balances, and recorded in policy liabilities in the consolidated balance sheets. Revenues from these contracts consist primarily of fees assessed against the contractholder account balance for mortality, policy administration, separate account administration, and surrender charges, and are reported in policy fees in the consolidated statements of income (loss). Additionally, the Company earns investment income from the investment of contract deposits, generated through the Company's funds withheld receivable, which is reported in net investment income (loss) in the consolidated statements of income (loss).

Fees assessed that represent compensation to the Company for benefits to be provided in future periods and certain other fees are established as a unearned revenue reserve liability and amortized into revenue over the expected life of the related contracts. Unearned revenue reserves are reported in contractholder deposit funds and other policyholder liabilities in the consolidated statements of income (loss).

Income taxes

The Company operates certain subsidiaries in jurisdictions where they are subject to taxation. Income taxes are provided for using the asset and liability method, under which deferred tax assets and liabilities are recognized for temporary differences between the financial reporting and tax basis of assets and liabilities. The Company evaluates the likelihood of realizing the benefit of deferred tax assets and may record a valuation allowance if, based on the weight of all available evidence, the Company determines that it is not more-likely-than-not that some or all of the tax benefit will be realized. The Company adjusts

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

the valuation allowance if, based on its evaluation, there is a change in the amount of deferred income tax assets that are deemed more-likely-than-not to be realized.

The Company recognizes tax positions in the consolidated financial statements only when it is more-likely-than-not that the position will be sustained on examination by the relevant taxing authority, based on the technical merits of the position. A position that meets this standard is measured at the largest amount of benefit that will more-likely-than-not be realized upon effective settlement with the related taxing authority. A liability is established for differences between positions taken on a tax return and amounts recognized in the consolidated financial statements.

The Company records the effect of changes in tax laws or rates at the date of enactment. The total effect of a tax law or rate change on the deferred tax balance is recorded as a component of tax expense related to continuing operations for the period in which the law is enacted.

Adoption of new accounting pronouncements**Scope application of profits interest and similar awards**

In March 2024, the FASB issued ASU 2024-01 "Compensation - Stock Compensation (Topic 718: Scope Application of Profits Interest and Similar Awards)" ("ASU 2024-01"). ASU 2024-01 amends the guidance in Accounting Standard Codification 718 ("ASC 718") by adding an illustrative example to demonstrate and clarify how to apply the scope guidance to determine whether profits interests and similar awards should be accounted for as a share-based payment arrangement under ASC 718 or another standard. The Company adopted this accounting standard effective for the year ended December 31, 2025 and its adoption did not have a material impact on the Company's consolidated financial statements.

Future application of accounting standards**Improvements to income tax disclosures**

In December 2023, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2023-09 "Improvements to Income Tax Disclosures" ("ASU 2023-09"). ASU 2023-09 intends to enhance the transparency and decision usefulness of income tax disclosures, requiring disaggregated information about an entity's effective tax rate reconciliation as well as income taxes paid. The guidance is effective for annual periods beginning after December 15, 2025, with early adoption permitted. The guidance is not expected to have a material impact on the Company's consolidated financial statements.

Measurement of Credit Losses for Accounts Receivable and Contract Assets

In July 2025, the FASB issued ASU 2025-05, "Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets" ("ASU 2025-05"). ASU 2025-05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods and interim periods in annual reporting periods beginning after December 15, 2025. Early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on its consolidated financial statements.

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(3) Investments

Fixed maturity securities

The cost or amortized cost and fair value for AFS fixed maturity securities were as follows:

As of December 31, 2025	Cost or amortized cost	Gross unrealized		Fair value ⁽¹⁾
		gains	losses	
(\$ in thousands)				
AFS fixed maturity securities portfolio by type:				
Residential mortgage-backed securities ("RMBS")	\$ 22,970	\$ 84	\$ —	\$ 23,054
Commercial mortgage-backed securities ("CMBS")	83,174	753	—	83,927
Total AFS fixed maturity securities	\$ 106,144	\$ 837	\$ —	\$ 106,981

(1) There is no allowance for credit losses recognized as of December 31, 2025.

As of December 31, 2024	Cost or amortized cost	Gross unrealized		Fair value ⁽¹⁾
		gains	losses	
(\$ in thousands)				
AFS fixed maturity securities portfolio by type:				
RMBS	\$ 56,704	\$ —	\$ (773)	\$ 55,931
CMBS	127,535	796	(340)	127,991
Collateralized loan obligations (“CLOs”)	4,369	—	(6)	4,363
Total AFS fixed maturity securities	\$ 188,608	\$ 796	\$ (1,119)	\$ 188,285

(1) There is no allowance for credit losses recognized as of December 31, 2024.

Securities in a continuous unrealized loss position

The following tables provide information about the Company's AFS fixed maturity securities that have been continuously in an unrealized loss position:

As of December 31, 2024	Less than 12 months		12 months or more		Total	
	Fair value	Unrealized losses	Fair value	Unrealized losses	Fair value	Unrealized losses
(\$ in thousands)						
AFS fixed maturity securities portfolio by type:						
RMBS	\$ 55,931	\$ (773)	\$ —	\$ —	\$ 55,931	\$ (773)
CMBS	32,536	(340)	—	—	32,536	(340)
CLOs	2,563	(6)	—	—	2,563	(6)
Total	\$ 91,030	\$ (1,119)	\$ —	\$ —	\$ 91,030	\$ (1,119)

Unrealized gains and losses can be created by changing interest rates or several other factors, including changing credit spreads. The Company had no securities in an unrealized loss position as of December 31, 2025 and 7 securities in an unrealized loss position as of December 31, 2024. The single largest unrealized loss on AFS fixed maturity securities was \$461 thousand as of December 31, 2024.

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Funds withheld receivable at interest

As a reinsurance business, the Company is subject to the investment performance of the assets in the funds withheld receivable at interest. In the event of a ceding company's insolvency, the Company would need to assert a claim on the assets supporting its reserve liabilities. However, the risk of loss to the Company is mitigated by its ability to offset amounts it owes the ceding company for claims or allowances against amounts owed to it from the ceding company. As of both December 31, 2025, and 2024, the assets held supporting the reinsurance agreement were held by three Sponsor Insurance Subsidiaries. Each of the three cedants, Commonwealth Annuity and Life Insurance Company ("CWA"), Global Atlantic Re Limited ("GA Re"), and Global Atlantic Assurance Limited ("GAAL") have financial strength ratings of "A" from S&P.

Other investments

As of December 31, 2025, and 2024, the Company had \$86.4 million and \$72.0 million of investments in entities that own real estate, respectively. These investments qualify as equity method investments; however, the Company has elected to apply the fair value option. The Company's maximum exposure to loss related to these investments is limited to the carrying value of these investments.

Net investment income (loss)

Net investment income (loss) is comprised primarily of interest income, including amortization of premiums and accretion of discounts, based on yields which change due to expectations in projected cash flows, and income from funds withheld receivable at interest

The components of net investment income (loss) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Income assumed from funds withheld receivable at interest	\$ 1,437,336	\$ 1,211,233
Fixed maturity securities - interest and other income	9,174	3,137
Short-term and other investment income	3,466	18,654
Gross investment income	1,449,976	1,233,024
Less investment expenses:		
Investment management fees	62,535	56,636
Net investment income (loss)	\$ 1,387,441	\$ 1,176,388

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Net investment-related gains (losses)

Net investment-related gains (losses) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Unrealized gains (losses) on embedded derivative included in funds withheld receivable at interest	\$ 213,372	\$ (413,724)
Realized gains (losses) on AFS fixed maturity securities	168	—
Realized gains (losses) on funds withheld receivable at interest	1,309	5,427
Unrealized gains (losses) on other investments	9,544	24,961
Net investment-related gains (losses)	\$ 224,393	\$ (383,336)

Proceeds and gross gains and losses from voluntary sales

The proceeds from voluntary sales and the gross gains and losses on those sales of AFS fixed maturity securities were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
AFS fixed maturity securities:		
Proceeds from voluntary sales	\$ 74,427	\$ —
Gross gains	302	—
Gross losses	(134)	—

(4) Derivatives

The Company has embedded derivatives related to reinsurance contracts that are accounted for on a modified coinsurance and funds withheld basis; an embedded derivative exists because the arrangement exposes the reinsurer to third-party credit risk. The Company also has embedded derivatives related to insurance liabilities including fixed-indexed annuities. These embedded derivatives are included in funds withheld receivable at interest and policy liabilities in the consolidated balance sheets.

The fair value of the derivatives was as follows:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Embedded derivative – funds withheld receivable at interest	\$ (52,376)	\$ (265,748)
Embedded derivative – annuity products	369,220	287,454

(5) Fair value disclosure of financial instruments

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (the exit

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price). The best evidence of fair value is a quoted price in an active market. If listed prices or quotations are not available, fair value is determined by reference to prices of similar instruments and quoted prices or recent prices in less active markets.

U.S. GAAP establishes a three-level valuation hierarchy, based upon observable and non-observable inputs. Observable inputs reflect market data obtained from independent sources, while unobservable inputs reflect the Company's market assumptions. The fair value hierarchy prioritizes inputs to the valuation techniques used to measure fair value, giving the highest priority to Level 1 inputs, and the lowest priority to Level 3 inputs. A financial instrument's level in the fair value hierarchy is based on the lowest level of any input that is significant to fair value measurement of the financial instrument. The three levels of the fair value hierarchy are described below:

Basis of fair value measurement

Level 1: Unadjusted quoted prices in active markets to which the Company had access at the measurement date for identical, unrestricted assets and liabilities.

Level 2: Inputs to valuation techniques are observable either directly or indirectly through quoted prices for similar instruments in active markets; quoted prices for identical or similar instruments in markets that are not active; and model-derived valuations whose inputs are observable or whose significant value drivers are observable; and

Level 3: Model-derived, where one or more inputs to the valuation techniques are significant and unobservable.

The measurement of Level 3 financial instrument fair values uses unobservable inputs that are based on management judgment and the internal determination of assumptions that market participants would use in valuing them. Valuation subjectivity increases when markets are less liquid due to the lack of more transparent, market-based inputs, which may increase the potential that estimated fair values are not reflective of the price at which an actual transaction would occur.

The following tables represent the hierarchy for the Company's assets and liabilities measured at fair value on a recurring basis:

As of December 31, 2025	Level 1		Level 2		Level 3		Total
(\$ in thousands)							
Assets:							
AFS fixed maturity securities:							
Structured securities	\$	—	\$	106,981	\$	—	\$ 106,981
Total AFS fixed maturity securities		—		106,981		—	106,981
Embedded derivative – funds withheld receivable at interest		—		—		(52,376)	(52,376)
Other investments		—		—		86,394	86,394
Total assets at fair value		—		106,981		34,018	140,999
Liabilities:							
Policy liabilities – market risk benefits		—		—		10,468	10,468
Embedded derivative – annuity products		—		—		369,220	369,220
Total liabilities at fair value	\$	—	\$	—	\$	379,688	\$ 379,688

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As of December 31, 2024	Level 1		Level 2		Level 3		Total
(\$ in thousands)							
Assets:							
AFS fixed maturity securities:							
CLOs	\$	—	\$	4,363	\$	—	\$ 4,363
Corporate		—		183,922		—	183,922
Total AFS fixed maturity securities		—		188,285		—	188,285
Embedded derivative – funds withheld receivable at interest		—		—		(265,748)	(265,748)
Other investments		—		—		72,024	72,024
Total assets at fair value		—		188,285		(193,724)	(5,439)
Liabilities:							
Policy liabilities – market risk benefits		—		—		11,371	11,371
Embedded derivative – annuity products		—		—		287,454	287,454
Total liabilities at fair value	\$	—	\$	—	\$	298,825	\$ 298,825

Fair value techniques and inputs

The following is a description of the valuation techniques and inputs used for instruments carried at fair value. The observability of the inputs used in the valuation determines the appropriate level in the fair value hierarchy for the respective asset or liability.

Investments

Investments, such as fixed maturity securities for which quoted market prices from active markets are not available, are priced using observable inputs, which can be verified to quoted prices, recent trading activity for identical or similar instruments, broker or dealer quotations, or alternative pricing sources, with reasonable levels of price transparency. Consideration is given to the nature of the quotations and the relationship of recent market activity to the prices provided by alternative pricing sources. Other investments having one or more significant valuation inputs that are not observable are initially valued at transaction price, which is considered to be the best initial estimate of fair value. Subsequently, the Company uses other methodologies to determine fair value, which vary based on the type of investment.

Valuation inputs and assumptions are changed when corroborated by substantive observable evidence, including values realized on sales.

Funds withheld receivable at interest and policy liabilities

A portion of the funds withheld receivable at interest carried at fair value represents embedded derivatives, and is valued based on the fair value of the underlying investments, which includes significant unobservable inputs.

Policy liabilities carried at fair value are valued using present value techniques that discount estimated liability cash flows at a rate that reflects the riskiness of those cash flows, and also consider policyholder behavior (lapse rates, surrender rates, and mortality). Market risk benefits liabilities are valued at fair value using a non-option and option valuation approach, based on current net amounts at risk, market data, company experience, and other factors. Other embedded derivative liabilities are related to the Company's fixed-indexed annuity products, which contain equity-indexed features. The Company calculates the embedded derivative liabilities as the present value of future projected benefits in excess of the projected guaranteed benefits, using an option budget as the indexed account value growth

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rate, and considering an adjustment to reflect the risk of nonperformance on the Company's obligation and inputs, such as projected withdrawal and surrender activity or mortality. The Company calculates instrument specific credit risk using a blend of observable peer holding company credit spreads, adjusted to reflect the claim paying ability of the Company's insurance entities, as well as an adjustment to reflect the priority of policy claims.

Fair value of assets and liabilities

Significant unobservable inputs

The tables below present significant unobservable inputs used to value the Company's Level 3 financial assets and liabilities, and includes only those items for which information is reasonably available, such as data from internal determinations of fair value.

As of December 31, 2025				
Level 3 assets ⁽¹⁾			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
(\$ in thousands)				
Other investments	\$	86,394	Discounted cash flow - discount rate	Decrease
			Discounted cash flow - terminal capitalization rate	Decrease

- (1) The funds withheld receivable at interest embedded derivative has been excluded from the above table. As discussed in Note 13 - Reinsurance, the funds withheld receivable at interest is created through funds withheld contracts. The assets supporting these receivables were held in trusts and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's consolidated balance sheets.

As of December 31, 2025				
Level 3 liabilities			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
(\$ in thousands)				
Policy liabilities – market risk benefits	\$	10,468	10 and 30 year instrument-specific credit risk	Decrease
			Policyholder behavior is also a significant unobservable input, including utilization, lapse, surrender, and mortality	Decrease
Embedded derivative – annuity products	\$	369,220	Future costs for options used to hedge contract obligations	Increase
			Policyholder behavior is a significant unobservable input, including surrender and mortality	Decrease

As of December 31, 2024				
Level 3 assets ⁽¹⁾			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
(\$ in thousands)				
Other investments	\$	72,024	Discounted cash flow - discount rate	Decrease
			Discounted cash flow - terminal capitalization rate	Decrease

- (1) The funds withheld receivable at interest embedded derivative has been excluded from the above table. As discussed in Note 13 - Reinsurance, the funds withheld receivable at interest is created through funds withheld contracts. The assets supporting these receivables were held in trusts and are part of the respective counterparty's balance sheet. Accordingly, the unobservable

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inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's consolidated balance sheets.

As of December 31, 2024				
Level 3 liabilities			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
(\$ in thousands)				
Policy liabilities – market risk benefits	\$	11,371	10 and 30 year instrument-specific credit risk	Decrease
			Policyholder behavior is also a significant unobservable input, including utilization, lapse, surrender, and mortality	Decrease
Embedded derivative – annuity products	\$	287,454	Future costs for options used to hedge contract obligations	Increase
			Policyholder behavior is a significant unobservable input, including surrender and mortality	Decrease

The tables below set forth a summary of gains and losses and changes in the fair value of the Company's Level 3 assets and liabilities during the dates indicated:

	Year ended December 31, 2025									
	Net realized and unrealized gains (losses) included in					Balance, end of period				
	Balance, beginning of period	Income	Other comprehensive income	Net settlements / purchases						
(\$ in thousands)										
Assets:										
Embedded derivative – funds withheld receivable at interest	\$	(265,748)	\$	213,372	\$	—	\$	—	\$	(52,376)
Other investments		72,024		9,544		—		4,826		86,394
Total assets		(193,724)		222,916		—		4,826		34,018
Liabilities:										
Policy liabilities – market risk benefits		11,371		(563)		(47)		(293)		10,468
Embedded derivative – annuity products		287,454		55,798		—		25,968		369,220
Total liabilities	\$	298,825	\$	55,235	\$	(47)	\$	25,675	\$	379,688

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	Year ended December 31, 2024									
	Net realized and unrealized gains (losses) included in				Balance, end of period					
	Balance, beginning of period	Income	Other comprehensive income	Net settlements / purchases						
(\$ in thousands)										
Assets:										
Embedded derivative – funds withheld receivable at interest	\$	193,640	\$	(413,724)	\$	—	\$	(45,664)	\$	(265,748)
Other investments		3,446		24,960		—		43,618		72,024
Total assets		197,086		(388,764)		—		(2,046)		(193,724)
Liabilities:										
Policy liabilities – market risk benefits		14,214		(2,790)		322		(375)		11,371
Embedded derivative – annuity products		138,294		25,015		—		124,145		287,454
Total liabilities	\$	152,508	\$	22,225	\$	322	\$	123,770	\$	298,825

Year ended December 31, 2025	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in thousands)					
Assets:					
Other investments	\$ 4,826	\$ —	\$ —	\$ —	\$ 4,826
Total assets	4,826	—	—	—	4,826
Liabilities:					
Policy liabilities – market risk benefits	—	—	—	(293)	(293)
Embedded derivative – annuity products	—	29,072	—	(3,104)	25,968
Total liabilities	\$ —	\$ 29,072	\$ —	\$ (3,397)	\$ 25,675

Year ended December 31, 2024	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in thousands)					
Assets:					
Embedded derivative – funds withheld receivable at interest	\$ —	\$ —	\$ —	\$ (45,664)	\$ (45,664)
Other investments	43,618	—	—	—	43,618
Total assets	43,618	—	—	(45,664)	(2,046)
Liabilities:					
Policy liabilities – market risk benefits	—	—	—	(375)	(375)
Embedded derivative – annuity products	—	127,303	—	(3,158)	124,145
Total liabilities	\$ —	\$ 127,303	\$ —	\$ (3,533)	\$ 123,770

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(6) Composition of other assets, liabilities, insurance expenses, and general and administrative expenses

Other assets consist of the following:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Deferred organization, structuring, and setup costs	\$ 75	\$ 2,659
Miscellaneous assets	6,091	22,112
Total other assets	\$ 6,166	\$ 24,771

Other liabilities consist of the following:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Deferred income tax liability	\$ 7,641	\$ 5,624
Deferred expense reduction liability ⁽¹⁾	10,530	12,536
Accrued expenses and other payables ⁽²⁾	54,871	63,665
Total other liabilities	\$ 73,042	\$ 81,825

(1) Includes placement fees which are paid initially by the Company and then reimbursed by the Sponsor over time.

(2) Includes net affiliate payable amount of \$3.6 million and \$2.9 million as of December 31, 2025, and 2024, respectively.

Insurance expenses consist of the following:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Commission expense	\$ 41,702	\$ 145,355
Reinsurance expense allowance	38,044	39,844
Premium taxes	2,980	3,572
Excise tax and other insurance expenses	6,890	8,402
Total insurance expenses	\$ 89,616	\$ 197,173

General and administrative expenses consist of the following:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Professional services	\$ 15,160	\$ 14,233
Other miscellaneous general and administrative expenses	2,137	2,143
Total general and administrative expenses	\$ 17,297	\$ 16,376

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(7) Policy liabilities

The following reflects the reconciliation of the components of policy liabilities to the total balance reported in the consolidated balance sheets as of the dates indicated:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Policyholders' account balances	\$ 15,702,639	\$ 14,549,080
Liability for future policy benefits	5,931,529	4,972,007
Additional liability for annuitization, death, or other insurance benefits	1,006,223	909,454
Market risk benefit liability	10,468	11,371
Other policy-related liabilities ⁽¹⁾	849,730	798,613
Total policy liabilities	\$ 23,500,589	\$ 21,240,525

- (1) Other policy-related liabilities consist of cost of reinsurance liabilities (\$440.3 million and \$488.0 million), embedded derivatives associated with contractholder deposit funds (\$369.2 million and \$287.5 million), and outstanding claims (\$40.2 million and \$23.2 million) as of December 31, 2025, and 2024, respectively.

Policyholders' account balances

The following reflects the policyholders' account balances roll-forward and average interest rates, net amount at risk, and cash surrender value as of and for the dates indicated:

	Year ended December 31, 2025						
	Fixed rate annuities	Fixed-indexed annuities	Variable annuities	Interest sensitive life	Funding agreements	Other ⁽¹⁾	Total
(\$ in thousands, except percentages)							
Balance as of the beginning of the period	\$6,377,082	\$1,416,292	\$ 1,580,294	\$2,575,603	\$ —	\$2,599,809	\$14,549,080
Issuances and premiums received	341,735	175,186	45,657	205,347	1,257,209	12,226	2,037,360
Benefit payments, surrenders, and withdrawals	(491,585)	(148,337)	(336,544)	(268,332)	(7,318)	(276,493)	(1,528,609)
Interest ⁽²⁾	348,708	78,229	46,590	113,796	25,098	140,480	752,901
Other activity ⁽³⁾	(33,967)	(1,729)	94,270	(167,204)	—	537	(108,093)
Balance as of the end of the period	\$6,541,973	\$1,519,641	\$ 1,430,267	\$2,459,210	\$1,274,989	\$2,476,559	\$15,702,639
Average interest rate	5.49 %	5.49 %	3.00 %	4.58 %	5.44 %	5.67 %	5.14 %
Net amount at risk ⁽⁴⁾	\$ —	\$ —	\$ —	\$21,046,308	\$ —	\$ —	\$21,046,308
Cash surrender value ⁽⁵⁾	6,467,362	1,810,351	2,104,850	2,589,764	—	—	12,972,327

- (1) Other consists of activity related to payout annuities without life contingencies and long-term care policies. Long-term care is net of inuring reinsurance which cedes all mortality and morbidity risk to a third party reinsurer, resulting in fixed cash flows.
- (2) Interest includes interest credited to policyholders' account values and interest accreted in other components of the policyholders' account balance, including investment-type contract values, host amounts for contractholder deposits with embedded derivatives, funding agreements, and other associated reserves.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

- (3) Other activity includes policy charges, fees and commissions, transfers, and assumption changes.
- (4) Net amount at risk represents the difference between the face value of the life insurance policy and the reserve accumulated under that same policy.
- (5) Cash surrender values are reported net of any applicable surrender charges.

	Year ended December 31, 2024					
	Fixed rate annuities	Fixed-indexed annuities	Variable annuities	Interest sensitive life	Other ⁽¹⁾	Total
(\$ in thousands, except percentages)						
Balance as of the beginning of the period	\$ 4,271,441	\$ 839,475	\$ 1,816,995	\$ 2,150,703	\$ 296,958	\$ 9,375,572
Issuances and premiums received	2,287,108	691,396	50,031	750,530	2,413,298	6,192,363
Benefit payments, surrenders, and withdrawals	(380,870)	(178,424)	(418,820)	(234,946)	(222,481)	(1,435,541)
Interest ⁽²⁾	286,301	55,462	54,361	105,223	112,587	613,934
Other activity ⁽³⁾	(86,898)	8,383	77,727	(195,907)	(553)	(197,248)
Balance as of the end of the period	\$ 6,377,082	\$ 1,416,292	\$ 1,580,294	\$ 2,575,603	\$ 2,599,809	\$14,549,080
Average interest rate	5.45 %	5.25 %	3.07 %	4.48 %	5.66 %	5.03 %
Net amount at risk ⁽⁴⁾	\$ —	\$ —	\$ —	\$22,247,454	\$ —	\$22,247,454
Cash surrender value ⁽⁵⁾	6,295,137	1,666,006	2,295,370	2,716,928	—	12,973,441

- (1) Other consists of activity related to payout annuities without life contingencies and long-term care policies. Long-term care is net of inuring reinsurance which cedes all mortality and morbidity risk to a third party reinsurer, resulting in fixed cash flows.
- (2) Interest includes interest credited to policyholders' account values and interest accreted in other components of the policyholders' account balance, including investment-type contract values, host amounts for contractholder deposits with embedded derivatives, and other associated reserves.
- (3) Other activity includes policy charges, fees and commissions, transfers, and assumption changes.
- (4) Net amount at risk represents the difference between the face value of the life insurance policy and the reserve accumulated under that same policy.
- (5) Cash surrender values are reported net of any applicable surrender charges.

The following table presents the account values by range of guaranteed minimum crediting rates and the related range of difference, in bps, between rates being credited to policyholders and the respective guaranteed minimums. Account value, as disclosed below, differs from policyholders' account balance, as it excludes balances associated with index credits, contractholder deposit fund host balances, and other associated reserves. In addition, the policyholder account balance includes discounts and premiums on assumed business which are not reflected in the account value.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Range of guaranteed minimum crediting rates	As of December 31, 2025					
	Account values with adjustable crediting rates subject to guaranteed minimums:					Total
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	
(\$ in thousands, except percentages)						
Less than 1.00%	\$ —	\$ —	\$ —	\$ —	\$ 137,171	\$ 137,171
1.00% - 1.99%	80,998	21,011	18,125	8,077	4,394,760	4,522,971
2.00% - 2.99%	265,157	482	10,012	34,011	898,900	1,208,562
3.00% - 4.00%	2,682,137	264,560	123,837	376,381	548,976	3,995,891
Greater than 4.00%	1,939,325	168,143	1,416	954	—	2,109,838
Total	\$ 4,967,617	\$ 454,196	\$ 153,390	\$ 419,423	\$ 5,979,807	\$11,974,433
Percentage of total	41 %	4 %	1 %	4 %	50 %	100 %

Range of guaranteed minimum crediting rates	As of December 31, 2024					
	Account values with adjustable crediting rates subject to guaranteed minimums:					Total
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	
(\$ in thousands, except percentages)						
Less than 1.00%	\$ 58,264	\$ —	\$ —	\$ —	\$ 137,555	\$ 195,819
1.00% - 1.99%	74,474	45,690	26,091	11,140	3,887,326	4,044,721
2.00% - 2.99%	282,025	448	31,827	28,248	975,815	1,318,363
3.00% - 4.00%	2,779,790	497,051	70,365	403,935	538,536	4,289,677
Greater than 4.00%	2,044,323	166,421	7,154	1,049	—	2,218,947
Total	\$ 5,238,876	\$ 709,610	\$ 135,437	\$ 444,372	\$ 5,539,232	\$12,067,527
Percentage of total	43 %	6 %	1 %	4 %	46 %	100 %

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Liability for future policy benefits

The following table summarizes the balances of, and changes in, the liability for future policy benefits for limited-payment contracts for the dates indicated:

	Years ended December 31,					
	2025			2024		
	Payout annuities ⁽¹⁾	Whole life	Total	Payout annuities ⁽¹⁾	Whole life	Total
(\$ in thousands)						
Present value of expected net premiums						
Balance as of the beginning of the period	\$ —	\$ (49,860)	\$ (49,860)	\$ —	\$ —	\$ —
Balance at the original discount rate	—	(49,814)	(49,814)	—	—	—
Effect of actual variances from expected experience	—	489	489	—	182	182
Adjusted beginning of period balance	—	(49,325)	(49,325)	—	182	182
Issuances	—	—	—	—	(54,954)	(54,954)
Interest	—	(2,347)	(2,347)	—	(2,038)	(2,038)
Net premiums collected	—	8,753	8,753	—	6,996	6,996
Ending balance at the original discount rate	—	(42,919)	(42,919)	—	(49,814)	(49,814)
Effect of changes in discount rate assumptions	—	(1,099)	(1,099)	—	(46)	(46)
Balance as of the end of the period	—	(44,018)	(44,018)	—	(49,860)	(49,860)
Present value of expected future policy benefits						
Balance as of the beginning of the period	3,558,909	1,462,958	5,021,867	2,657,205	—	2,657,205
Balance at the original discount rate	3,626,549	1,490,013	5,116,562	2,619,512	—	2,619,512
Effect of changes in cash flow assumptions	2,875	—	2,875	—	—	—
Effect of actual variances from expected experience	(8,054)	3,154	(4,900)	1,829	(23,987)	(22,158)
Adjusted beginning of the period balance	3,621,370	1,493,167	5,114,537	2,621,341	(23,987)	2,597,354
Issuances	1,076,024	—	1,076,024	1,169,787	1,544,477	2,714,264
Interest	187,343	75,889	263,232	151,362	58,706	210,068
Benefit payments	(380,553)	(112,132)	(492,685)	(315,941)	(89,183)	(405,124)
Ending balance at the original discount rate	4,504,184	1,456,924	5,961,108	3,626,549	1,490,013	5,116,562
Effect of changes in discount rate assumptions	18,737	(4,298)	14,439	(67,640)	(27,055)	(94,695)
Balance as of the end of the period	4,522,921	1,452,626	5,975,547	3,558,909	1,462,958	5,021,867
Net liability for future policy benefits	\$ 4,522,921	\$ 1,408,608	\$ 5,931,529	\$ 3,558,909	\$ 1,413,098	\$ 4,972,007

(1) Payout annuities generally only have a single premium received at contract inception; as a result, the liability for future policy benefits generally would not reflect a present value for future premiums for payout annuities.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

The following table summarizes the amount of gross premiums and assessments related to limited-payment contracts recognized in the consolidated statements of income (loss) during the dates indicated:

	Gross premiums and assessments	
	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Payout annuities	\$ 1,014,501	\$ 1,203,866
Whole life	8,754	1,496,519
Total products	\$ 1,023,255	\$ 2,700,385

The following table reflects the weighted-average duration and weighted-average interest rates of the future policy benefit liability as of the dates indicated:

	As of December 31, 2025		As of December 31, 2024	
	Payout annuities	Whole life	Payout annuities	Whole life
Weighted-average interest rates, original discount rate	5.20 %	5.38 %	5.19 %	5.37 %
Weighted-average interest rates, current discount rate	5.15 %	5.32 %	5.44 %	5.52 %
Weighted-average liability duration (years)	7.90	10.68	8.14	11.75

The following reflects the undiscounted ending balance of expected future benefit payments and expected future gross premiums for limited-payment contracts as of the dates indicated:

	As of December 31, 2025		As of December 31, 2024	
	Payout annuities	Whole life	Payout annuities	Whole life
(\$ in thousands)				
Expected future benefit payments, undiscounted	\$ 7,381,548	\$ 3,096,118	\$ 6,001,582	\$ 3,258,985
Expected future benefit payments, discounted (original discount rate)	4,504,184	1,456,924	3,626,549	1,490,013
Expected future benefit payments, discounted (current discount rate)	4,522,921	1,452,626	3,558,909	1,462,958
Expected future gross premiums, undiscounted	—	56,677	—	66,100
Expected future gross premiums, discounted (original discount rate)	—	42,919	—	49,814
Expected future gross premiums, discounted (current discount rate)	—	44,018	—	49,860

Significant inputs, judgments, and assumptions used in measuring future policy benefits

Significant policyholder behavior and other assumption inputs to the calculation of the liability for future policy benefits include discount rates and mortality. The Company reviews all assumptions at least annually, and more frequently if necessary. Accordingly, as part of the assumption review conducted during the year ended December 31, 2025, assumptions were revised for expected mortality on certain payout annuities and pension risk transfer products, resulting in an unfavorable impact of \$2.9 million. As part of the assumption review conducted during the year ended December 31, 2024, the Company concluded that no changes in assumptions were needed.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

For the years ended December 31, 2025, and 2024, the Company recognized \$(108.1) million and \$132.4 million in other comprehensive income (loss), respectively, due to changes in the future policy benefits estimate from updating discount rates. During the years ended December 31, 2025, and 2024, there were no changes to the methods used to determine the discount rates.

Additional liability for annuitization, death, or other insurance benefits

The following tables reflect the additional liability for annuitization, death, or other insurance benefits roll-forward for the dates indicated:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Balance as of the beginning of period	\$ 909,454	\$ 822,220
Effect of changes in cash flow assumptions	(1)	—
Effect of actual variances from expected experience	3,004	3,646
Adjusted beginning of the period balance	912,457	825,866
Assessments	86,302	76,868
Benefits paid	(30,132)	(27,097)
Interest	37,596	33,817
Balance as of the end of period	\$ 1,006,223	\$ 909,454

The additional liability for annuitization, death, or other insurance benefits relates primarily to secondary guarantees on certain interest-sensitive life products.

The following reflects the amount of gross assessments recognized for the annuitization, death, or other insurance benefits in the consolidated statements of income (loss) for the dates indicated:

	Gross assessments	
	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Total amount recognized within revenue in the consolidated statements of income (loss)	\$ 86,743	\$ 21,752

The following reflects the weighted average duration and weighted average interest rate for the additional liability for annuitization, death, or other insurance benefits as of the dates indicated:

	As of December 31,	
	2025	2024
Weighted-average interest, current discount rate	4.00 %	4.00 %
Weighted-average liability duration (years)	25.28	27.87

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Significant inputs, judgments, and assumptions used in measuring the additional liabilities for annuitization, death, or other insurance benefits

Significant policyholder behavior assumption inputs to the calculation of the additional liability for annuitization, death, or other insurance benefits include mortality and lapse rates. The Company reviews all assumptions at least annually, and more frequently if necessary. Accordingly, as part of the assumption review conducted during the year ended December 31, 2025, assumptions for investment yields were updated, resulting in a favorable impact of \$1 thousand. As part of the assumption review conducted during the year ended December 31, 2024, the Company concluded that no changes in assumptions were needed.

Market risk benefits

The following table presents the balances of, and changes in, market risk benefits:

	Years ended December 31,	
	2025	2024
	Variable annuities	
(\$ in thousands)		
Balance as of the beginning of the period	\$ 11,371	\$ 14,214
Balance as of the beginning of the period, before impact of changes in instrument-specific credit risk	9,973	13,138
Interest	473	668
Attributed fees collected	490	552
Benefit payments	(293)	(375)
Effect of changes in interest rates	464	(2,584)
Effect of changes in equity markets	(1,191)	(656)
Effect of actual experience different from assumptions	(799)	(770)
Balance as of the end of the period, before impact of changes in instrument-specific credit risk	9,117	9,973
Effect of changes in instrument-specific credit risk	1,351	1,398
Balance as of the end of the period	\$ 10,468	\$ 11,371
Net amount at risk	\$ 13,352	\$ 15,424
Weighted-average attained age of contract holders (years)	65.0	64.4

The following reflects the reconciliation of the market risk benefits reflected in the preceding table to the amounts reported in an asset and liability position, respectively, in the consolidated balance sheets as of the dates indicated:

	As of December 31, 2025			As of December 31, 2024		
	Asset	Liability	Net	Asset	Liability	Net
(\$ in thousands)						
Variable annuities	\$ —	\$ 10,468	\$ (10,468)	\$ —	\$ 11,371	\$ (11,371)
Total	\$ —	\$ 10,468	\$ (10,468)	\$ —	\$ 11,371	\$ (11,371)

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Significant inputs, judgments, and assumptions used in measuring market risk benefits

Significant policyholder behavior and other assumption inputs to the calculation of the market risk benefits include interest rates, instrument-specific credit risk, mortality rates, lapse rates, surrender rates, and utilization rates. The Company reviews all assumptions at least annually, and more frequently if necessary. Accordingly, as part of the annual assumption review conducted during the year ended December 31, 2025, assumptions were updated for revenue sharing for variable annuities, resulting in an unfavorable impact of \$7 thousand. As part of the assumption review conducted during the year ended December 31, 2024, the Company concluded that no changes in assumptions were needed.

(8) Equity-based compensation

An executive of the Company has been granted a notional capital commitment to Ivy UK Co-Invest Vehicle II Limited (the “Management Equity Award,” the “Award”) to be funded on the Company’s behalf by its investors, in accordance with the Award Agreement dated June 20, 2023, and that certain third amended and restated shareholders agreement, dated as of May 12, 2023, between us, the Sponsor, and the parties thereto. Under the terms of the Award, the executive will be granted membership interests on a pro-rata basis as capital commitments from investors are called.

The total fair value of the Award at the date of grant was \$200 thousand. As of December 31, 2025, the Company had called approximately 82.6% of the Company’s total capital commitments, which resulted in the issuance of \$165 thousand in membership interests to the executive under the Award. In connection with the issuance, the Company recognized approximately \$24 thousand and \$45 thousand of equity-based compensation expense during the years ended December 31, 2025, and 2024, respectively.

(9) Shareholder’s equity

The maximum number of the Company shares authorized for issuance is 250,000 common shares, at par value of \$1 per share.

Capital contributions

For the years ended December 31, 2025 and 2024, the Company has received \$583.2 million and \$581.4 million, respectively, in capital contributions from its parent.

Return of capital

For the years ended December 31, 2025 and 2024, the Company has made a total of \$198.0 million and \$170.0 million, respectively, in returns of capital to its direct parent.

Dividends

For the years ended December 31, 2025, and 2024, respectively, the Company declared and paid dividends of \$240.5 million and \$81.0 million.

For information on dividend restrictions on Ivy Re II, please see Note 13—“Dividend restrictions and statutory information.”

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(10) Accumulated other comprehensive income (loss)

Information regarding amounts reclassified out of each component of accumulated other comprehensive income (loss) as follows:

Components of accumulated other comprehensive income (loss)	Consolidated statements of income (loss) and consolidated statements of comprehensive income (loss) location	Years ended	
		December 31,	
		2025	2024
(\$ in thousands)			
Net unrealized investment gains (losses) on AFS fixed maturity securities:			
Net unrealized investment gains (losses)	Net investment-related gains (losses)	\$ 168	\$ —
Net unrealized investment gains (losses), reclassified		\$ 168	\$ —

(11) Income taxes

Ivy Re II Limited and its respective subsidiaries are based in Bermuda and the United States.

Bermuda enacted the Corporate Income Tax Act 2023 (“CITA”) on December 27, 2023. The CITA introduces a 15% corporate income tax rate, effective for tax years beginning on or after January 1, 2025. There is a five-year deferred effective date for certain groups with a limited international footprint, defined as being in six or fewer jurisdictions and having tangible assets less than €50.0 million outside of the jurisdiction where the multinational enterprise group has the highest total value of tangible assets. The Company is part of a multinational enterprise group and is expected to qualify for the limited international footprint exemption to defer application of the CITA until 2030. As of December 31, 2025, there is a deferred tax asset of \$5.0 million, to reflect the expected impact of the tax, as it is not more-likely-than-not that the deferred tax asset will be realized in future periods based on all the available evidence.

The Company may be subject to a variety of transfer pricing or permanent establishment challenges by taxing authorities in various jurisdictions. The completion of tax examinations may result in changes to the amounts recognized in the Company’s consolidated financial statements.

The Company holds interests in certain U.S. entities that invest in real estate, the income of which is subject to U.S. income tax. Income tax expense (benefit) of \$2.0 million and \$5.2 million has been recorded for the years ended December 31, 2025, and 2024, respectively.

As of December 31, 2025, the consolidated ending net deferred tax liability was \$7.6 million.

(12) Reinsurance

The Company has entered into a number of reinsurance treaties with Sponsor Insurance Subsidiaries, whereby it assumes insurance risk on a funds withheld and modified coinsurance basis.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Significant reinsurance transactions the Company entered into since January 1, 2024 include the following:

Effective December 31, 2025, Company entered into a funds withheld retrocession agreement with the Sponsor insurance Subsidiaries for funding agreement reserves. As of December 31, 2025, assumed annuity reserves are \$1.3 billion.

Effective December 30, 2024, the Company entered into a modified coinsurance agreement with the Sponsor Insurance Subsidiaries for pension risk transfer annuity reserves. As of December 31, 2025, assumed annuity reserves are \$702.4 million.

Effective June 1, 2024, the Company entered into a funds withheld coinsurance agreement with the Sponsor Insurance Subsidiaries for fixed annuity reserves. As of December 31, 2025, assumed annuity reserves are \$285.5 million.

Effective May 31, 2024, the Company entered into a modified coinsurance agreement with the Sponsor Insurance Subsidiaries for universal life business. As of December 31, 2025, assumed annuity reserves are \$466.8 million.

Effective January 1, 2024, the Company entered into a funds withheld coinsurance agreement with the Sponsor Insurance Subsidiaries for payout annuities, whole life business, and long term care policies where mortality and morbidity risk has been ceded to a third party reinsurer. As of December 31, 2025, assumed annuity reserves are \$3.8 billion.

The effects of all reinsurance agreements on the consolidated balance sheets were as follows:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Policy liabilities:		
Assumed	\$ 23,500,589	\$ 21,240,525
Total policy liabilities	\$ 23,500,589	\$ 21,240,525

The Company determines the appropriate amount of reinsurance based on evaluation of the risks accepted and on market conditions (including the availability and pricing of reinsurance). The Company evaluates the financial condition and monitors concentrations of credit risk with its Sponsor Insurance Subsidiaries. Based on its review of the Sponsor Insurance Subsidiaries' consolidated financial statements and reputations in the reinsurance marketplace, the Company held no allowance for uncollectible amounts as of both December 31, 2025, and 2024.

As of both December 31, 2025, and 2024, the Company had funds withheld receivable at interest with three Sponsor Insurance Subsidiaries related to funds withheld contracts. The assets supporting these receivables were held in trusts by the Sponsor Insurance company.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

The effects of reinsurance on the consolidated statements of income (loss) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Assumed:		
Premiums	\$ 1,023,255	\$ 2,700,385
Policy fees	292,176	297,559
Policy benefits and claims	2,434,721	3,738,037

The Company is contractually liable for U.S. federal excise taxes under the terms of the reinsurance treaties it has entered with the Sponsor Insurance Subsidiaries. The obligation is calculated as 1% of premiums paid to the Company on a cash basis. The Company incurred \$7.2 million and \$8.0 million of excise tax expense for the years ended December 31, 2025, and 2024, respectively. The excise tax expense is included in insurance expenses in the consolidated statements of income (loss).

(13) Dividend restrictions and statutory information

Ivy Re II is subject to the Bermuda Insurance Act 1978, as amended, and related regulations (the “Bermuda Insurance Act”).

The Bermuda Insurance Act limits the ability of Ivy Re II to pay dividends or make capital distributions by stipulating certain margin and solvency requirements, and by requiring approval from the BMA prior to a distribution of 15% or more of an insurer’s total statutory capital as reported on its prior year statutory balance sheet. Moreover, an insurer must submit an affidavit to the BMA, sworn by at least two directors and the principal representative in Bermuda of the Bermuda insurer, at least seven days prior to payment of any dividend which would exceed 25% of an insurer’s total statutory capital and surplus as reported on its prior year statutory balance sheet. The affidavit must state that, in the opinion of those swearing, the declaration of such dividend has not caused the insurer to fail to meet its relevant margins (“Bermuda Dividend Affidavit”). Accordingly, Ivy Re II may distribute up to: (1) 100% of statutory surplus; plus (2) an amount less than 15% of statutory capital, upon providing the BMA with a Bermuda Dividend Affidavit and meeting applicable solvency requirements, without BMA approval.

With respect to margin and solvency requirements, the Bermuda Insurance Act prohibits Ivy Re II from declaring or paying any dividends during any financial year if it is in breach of its solvency margin, or if the declaration or payment of such dividends would cause such a breach. If the insurer has failed to meet its minimum solvency margin on the last day of any financial year, such an insurer will also be prohibited, without the approval of the BMA, from declaring or paying any dividends during the next financial year. Ivy Re II is also prohibited from declaring or paying a dividend when it has failed to comply with its enhanced capital requirement, until such noncompliance is rectified. As of December 31, 2025, Ivy Re II exceeded all relevant capital requirements. The aggregate amount of dividends and capital distributions permitted to be made from Ivy Re II, without a required approval from or a submission of an affidavit to the BMA during the year ended December 31, 2026 is \$868.0 million. Dividends and capital distributions made by Ivy Re II during the year ended December 31, 2025 did not exceed the foregoing thresholds.

Statutory financial information

The Bermuda Insurance Act requires Ivy Re II to prepare and file statutory consolidated financial statements with the BMA in accordance with BMA prescribed or permitted practices that may differ from

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

U.S. GAAP. For example, Bermuda statutory surplus differs from U.S. GAAP primarily due to a modification that permits Ivy Re II not to measure the embedded derivative included within certain funds withheld coinsurance agreements at fair value.

The Bermuda Insurance Act also requires Ivy Re II to maintain certain measures of solvency and liquidity. Ivy Re II's Bermuda statutory consolidated financial statements form the basis for assessing Ivy Re II's liquidity, minimum solvency margin, and class of registration. These consolidated financial statements in turn form the basis for the preparation of the insurer's economic balance sheet. The economic balance sheet approach is a principles-based valuation approach to determine an insurer's capital adequacy, and is used as the basis for determination of Ivy Re II's enhanced capital requirement.

(14) Commitments and contingencies**Contingencies****Legal matters**

As of the date of these consolidated financial statements, the Company is not involved in judicial, regulatory, or arbitration matters. The Company expects that they may, from time to time, be involved in judicial, regulatory, and arbitration proceedings concerning matters arising in connection with the conduct of the Company's business. The Company will, at such time, assess the reasonable probability that a loss may be incurred, and reflect any such reasonably probable loss on its consolidated financial statements.

(15) Subsequent events

The Company evaluated all events and transactions through April 23, 2026, the date the accompanying consolidated financial statements were available to be issued, that would merit recognition or disclosures in the consolidated financial statements, and with the exception of the matters disclosed below, determined that nothing arose that merits recognition or disclosure.

On January 16, 2026, the Company entered into a funds withheld coinsurance agreement with a Sponsor Insurance Subsidiary whereby it assumed long-term care and disability products on a funds withheld basis. As of January 16, 2026, assumed long-term care and disability reserves are \$1.8 billion.

Subsequent to December 31, 2025, the Company has received \$37.0 million in capital contributions from its parent.